

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 25-13

AMERICAN IRON & METAL

COMPANY INC.,

COMPLAINANT,

v.

PRIVA LOGISTICS, INC.,

RESPONDENT.

VERIFIED ANSWER AND COUNTERCLAIM

Respondent Priva Logistics, Inc. (“Respondent” or “Priva”), by its undersigned attorneys, files this Verified Answer and Counterclaim, in response to the Verified Complaint (“Complaint”) of Complainant American Iron & Metal Company Inc. (“Complainant” or “AIM”), and avers and alleges as follows:

ANSWER

1. The allegations contained in Paragraph 1 of the Complaint do not require a response from Priva. To the extent a response from Priva is required, the allegations in Paragraph 1 of the Complaint admitted. Pursuant to 46 C.F.R. § 502.62(b)(2)(i), Priva further responds: AIM is a Canadian corporation, headquartered in Montreal, Quebec, with its principal place of business located at 9100 Henri-Bourassa Est, Montreal, QC H1E 2S4, Canada; AIM’s email addresses are ywang@aim-global.com, hrawal@aim-global.com, mewalker@aim-recycling.com, and

kkrause@aim-recycling.com; AIM is represented by Mr. Eric Palombo (eric.palombo@flastergreenberg.com) and Mr. Jeffrey Rizzo (jeffrey.rizzo@flastergreenberg.com) of the law firm Flaster/Greenberg P.C., 100 Front Street, Suite 100, Conshohocken, Pennsylvania 19428.

2. The allegations contained in Paragraph 2 of the Complaint are admitted.

3. The allegations contained in Paragraph 3 of the Complaint are legal conclusions that do not require a response from Priva. To the extent a response from Priva is required, the allegations are denied.

4. The allegations contained in Paragraph 4 of the Complaint call for legal conclusions that do not require a response from Priva. To the extent a response from Priva is required, the allegations are denied.

5. The allegations contained in Paragraph 5 of the Complaint are legal conclusions that do not require a response from Priva. To the extent a response from Priva is required, it is admitted that Priva is a “non-vessel operating common carrier” and “ocean transportation intermediary” as defined in 46 U.S.C. §§ 40102(17) and 40102(20), respectively. All other allegations in Paragraph 5 are denied.

6. The allegations contained in Paragraph 6 of the Complaint are denied.

7. The allegations contained in Paragraph 7 of the Complaint call for legal conclusions that do not require a response from Priva. To the extent a response from Priva is required, the allegations are denied.

8. The allegations contained in Paragraph 8 of the Complaint call for legal conclusions that do not require a response from Priva. To the extent a response from Priva is required, the allegations are denied.

9. The allegations contained in Paragraph 9 of the Complaint are denied.
10. The allegations contained in Paragraph 10 of the Complaint are denied.
11. The allegations contained in Paragraph 11 of the Complaint are denied.
12. The allegations contained in Paragraph 12 of the Complaint are admitted.
13. The allegations contained in Paragraph 13 of the Complaint are denied.
14. The allegations contained in Paragraph 14 of the Complaint are denied.
15. The allegations contained in Paragraph 15 of the Complaint are denied.
16. The allegations contained in Paragraph 16, including subparts “a.” through “d.”, of the Complaint are admitted to the extent these allegations represent settlement negotiations between the parties. To the extent the allegations of Paragraph 16 are alleged for any other purpose, the allegations are denied.
17. The allegations contained in Paragraph 17 of the Complaint are denied.
18. The allegations contained in Paragraph 18 of the Complaint are denied.
19. The allegations contained in Paragraph 19, including subparts “a.” through “c.”, of the Complaint are denied.
20. The allegations contained in Paragraph 20 of the Complaint are admitted.
21. The allegations contained in Paragraph 21 of the Complaint are denied.
22. The allegations contained in Paragraph 22 of the Complaint are admitted only to the extent it is alleged that the cargo bound for Ancora, Italy, has arrived, and the cargo destined for Mundra, India, is expected to arrive on July 3, 2025. All other allegations contained in Paragraph 22 of the Complaint are denied.
23. The allegations contained in Paragraph 23 of the Complaint are denied.
24. The allegations contained in Paragraph 24 of the Complaint are denied.

25. The allegations contained in Paragraph 25 of the Complaint are denied.
26. The allegations contained in Paragraph 26 of the Complaint are denied.
27. The allegations contained in Paragraph 27 of the Complaint are denied.
28. The allegations contained in Paragraph 28 of the Complaint are denied.
29. The allegations contained in Paragraph 29 of the Complaint are denied.
30. The allegations contained in Paragraph 30 of the Complaint are denied.
31. The allegations contained in Paragraph 31 of the Complaint are denied.
32. The allegations contained in Paragraph 32 of the Complaint constitute AIM's Request for Relief and do not require a response from Priva. To the extent a response from Priva is required, the allegations are denied.
33. The allegations contained in the final, unnumbered Paragraph of the Complaint constitute AIM's Request for Oral Hearing and do not require a response from Priva. To the extent a response is required, Priva also requests a hearing on this matter. Priva, however, objects AIM's request for the hearing to be held in Philadelphia, Pennsylvania and, instead, requests that a hearing be held at the Federal Maritime Commission's headquarters in Washington, D.C.

AFFIRMATIVE DEFENSES

FIRST AFFIRMATIVE DEFENSE

The Complaint fails to state a claim upon which relief can be granted.

SECOND AFFIRMATIVE DEFENSE

Priva has released all Sea Waybills associated with the bookings made subject in AIM's Complaint and AIM's alleged damages, if any, should be reduced accordingly.

THIRD AFFIRMATIVE DEFENSE

Any alleged damage sustained by AIM was proximately, directly, and solely caused by the acts of AIM.

FOURTH AFFIRMATIVE DEFENSE

AIM violated the Shipping Act when it knowingly and willfully, directly or indirectly, by means of false classification and other unjust or unfair devices or means, obtained or attempted to obtain ocean transportation for property at less than the rates or charges that would otherwise apply in violation of 46 U.S.C. § 41102(a). Accordingly, AIM is barred from recovery by the doctrine of unclean hands.

FIFTH AFFIRMATIVE DEFENSE

AIM has failed to mitigate its damages and is barred from recovering the requested reparations.

SIXTH AFFIRMATIVE DEFENSE

AIM cannot demonstrate, as a condition to recovery, that the alleged acts of Priva were an unreasonable regulation or a practice that was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which Priva was conducting business.

SEVENTH AFFIRMATIVE DEFENSE

At all times, Priva acted justly and reasonably in response to AIM's conduct.

EIGHTH AFFIRMATIVE DEFENSE

The alleged Shipping Act violations of Priva were not the proximate cause of AIM's alleged loss, and AIM suffered no damages or actual injury as a result of the alleged acts or omissions of Priva.

NINTH AFFIRMATIVE DEFENSE

AIM's Complaint is barred, in whole or in part, by its own violations of the Shipping Act and Federal Maritime Commission regulations.

TENTH AFFIRMATIVE DEFENSE

AIM's alleged damages are speculative, have not been pled with specificity as required under 46 C.F.R. § 502.62(a)(4), and should, therefore, be dismissed.

WHEREFORE, Priva respectfully requests that the Complaint of AIM against Priva be denied with prejudice, that judgment be entered in favor of Priva, and against AIM, that all costs of suit including reasonable attorneys' fees be awarded to Priva, and that any and all other further relief to which Priva may be entitled are awarded to Priva as the Court may deem just and proper.

VERIFIED COUNTERCLAIM

Priva Logistics, Inc., as Counterclaimant (“Priva”), by and through its undersigned attorneys, files this Verified Counterclaim against Counter-Respondent American Iron & Metal Company Inc. (“AIM”), pursuant to the Shipping Act of 1984, as amended, 46 U.S.C. §§ 40101, *et seq.* (the “Shipping Act”), and the regulations of the Federal Maritime Commission (“FMC”), and alleges and avers as follows:

I. Priva realleges and reincorporates all admissions, denials, and affirmative defenses in its Answer as if set forth herein.

II. AIM is a Canadian corporation engaged in the recycling and processing of scrap metal, headquartered in Montreal, Quebec, with its principal place of business located at 9100 Henri-Bourassa Est, Montreal, QC H1E 2S4, Canada. AIM’s email addresses are ywang@aim-global.com, hrawal@aim-global.com, mewalker@aim-recycling.com, and kkrause@aim-recycling.com; AIM is represented by Mr. Eric Palombo (eric.palombo@flastergreenberg.com) and Mr. Jeffrey Rizzo (jeffrey.rizzo@flastergreenberg.com) of the law firm Flaster/Greenberg P.C., 100 Front Street, Suite 100, Conshohocken, Pennsylvania 19428.

III. Priva is a corporation organized under the laws of the State of New York and is licensed to operate as a non-vessel-operating common carrier, FMC License Number 025540, with its principal place of business at 183 South Broadway Street, Suite 212, in Hicksville, New York, 11801.

IV. The FMC has subject-matter jurisdiction over this Counterclaim pursuant to the Shipping Act.

V. Priva filed this Counterclaim pursuant to 46 U.S.C. § 41301, seeking reparations for injuries caused to it by AIM for violations of 46 U.S.C. 41102(a) and 46 C.F.R. § 545.2.

VI. Priva has provided transportation services to AIM but AIM has failed to fulfill its monetary obligations to Priva for those services.

VII. On May 27, 2021, AIM executed a Letter of Guarantee and Indemnity to engage Priva for transportation services.

VIII. On January 26, 2024, AIM requested that Priva generate two bookings, each for ten (10) containers from Los Angeles, California, to Port Klang West, Malaysia.

IX. Priva generated the two requested bookings and provided AIM with the two Booking Numbers, NAM6677014 and NAM6677015.

X. On February 13, 2024, AIM provided Priva with shipping instructions for the ten (10) containers to be transported under Booking Number NAM6677014 (the “NAM6677014 Containers”).

XI. AIM’s shipping instructions for the NAM6677014 Containers provided the following “DESCRIPTION OF PACKAGE & GOODS”:

Aluminium Alloys

HS CODE: 7410.22.0000

TOTAL NET WEIGHT: 217.069MT

XII. Pursuant to AIM’s shipping instructions, Priva returned a draft bill of lading for the NAM6677014 Containers to AIM on February 14, 2024, by email. In that email, Priva requested that AIM review and confirm that the bill of lading was satisfactory.

XIII. On February 19, 2024, AIM responded to Priva’s February 14, 2025 email, and requested that the cargo description for Booking Number NAM6677014 be revised to read “Aluminium Alloy, HS code 7601.2.”

XIV. On February 20, 2024, and in conformity with AIM's requested revisions, Priva provided AIM with a revised bill of lading for Booking Number NAM6677014.

XV. On February 14, 2024, AIM provided Priva with shipping instructions for the ten (10) containers to be transported under Booking Number NAM6677015 (the "NAM6677015 Containers"). The shipping instructions described the cargo for each of the NAM6677015 Containers as "Aluminium Alloys."

XVI. On February 20, 2024, Priva sent a draft bill of lading for the NAM6677015 Containers to AIM for review and confirmation that the bill of lading was satisfactory.

XVII. The NAM6677014 Containers and NAM6677015 Containers were then transported by CMA CGM aboard the APL SENTOSA, and subsequently arrived and were offloaded at Port Klang West, Malaysia, on or about March 31, 2024.

XVIII. On March 22, 2024, AIM requested that Priva process the telex release for Booking Number NAM6677014 and Priva released the Sea Waybill to AIM on the same day.

XIX. On March 28, 2024, AIM requested that Priva process the telex release for Booking Number NAM6677015 and Priva released the Sea Waybill to AIM on the same day.

XX. After arrival at Port Klang West, however, the NAM6677014 Containers were subject to customs inspections by Malaysian customs authorities, who discovered that the cargo within the containers was aluminum scrap, or "ZORBA", not "aluminium alloy" as declared by AIM on the bills of lading.

XXI. Upon information and belief, the importing of aluminum scrap/ZORBA into Malaysia is prohibited.

XXII. Due to the prohibition on the importation of aluminum scrap/ZORBA into Malaysia, customs authorities would not release the NAM6677014 Containers to exit Port Klang West.

XXIII. In April 2024, Priva was notified by CMA CGM that the NAM6677014 Containers were idle and overdue for pickup in Port Klang West. Priva notified AIM that the Containers were idle and needed to be picked up.

XXIV. To date, neither AIM nor its consignees for the NAM6677014 Containers and the NAM6677015 Containers have retrieved the Containers from Port Klang West, Malaysia, and AIM has abandoned all twenty (20) of the Containers.

XXV. Upon information and belief, the NAM6677014 Containers and NAM6677015 Containers have continued to accrue demurrage, storage fees, and carrier charges.

XXVI. On February 24, 2025, CMA CGM issued Invoice Number NAEC0163666 to Priva in the amount of \$70,000 for the abandoned NAM6677014 Containers at Port Klang West. The basis of the charges on the CMA CGM Invoice is “Misdeclaration or Non Compliance with BL Clauses.”

XXVII. Upon information and belief, additional charges and fees for the misdeclaration and abandonment of the NAM6677015 Containers may be levied by CMA CGM against Priva.

XXVIII. AIM is responsible for paying the amounts listed in CMA CGM Invoice Number NAEC0163666 to Priva.

XXIX. From the time Priva first notified AIM of the customs issues to date, Priva has attempted to work with CMA CGM and AIM to resolve the customs issues and resolve this dispute with AIM. Despite Priva’s efforts to reach resolution in this matter, AIM has refused to pay the amounts rightfully owed to Priva and has taken other unfair and inappropriate actions in relation

to other shipments with Priva, such as unilaterally requesting original bills of lading from an ocean carrier without the knowledge or authorization of Priva.

XXX. Priva has expended, and continues to expend, significant time and resources, incurring administrative costs and expenses, exceeding an amount of \$30,000, attempting to resolve the aforementioned issues and disputes with AIM. This amount continues to grow with each passing day.

XXXI. AIM is responsible for paying Priva's administrative costs and expenses to Priva.

XXXII. On March 22, 2025, Priva sent Invoice Number 20040 to AIM. Invoice Number 20040 requested payment of a total of \$100,000 from AIM for the \$70,000 misdeclaration charge from CMA CGM and Priva's own NVOCC Penalty & Handling Fees for Misdeclaration in the amount of \$30,000.

XXXIII. AIM has refused to remit payment on Priva Invoice Number 20040 to Priva. Now, Priva's own administrative costs and expenses continue to grow with each passing day.

XXXIV. AIM's misdeclaration of the NAM6677014 Containers and NAM6607715 Containers was done knowingly and willfully, through means of false classification or other unjust or unfair device or means, in effort to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply in violation of the Shipping Act and Federal Maritime Commission regulations, in particular, 46 U.S.C. § 41102(a) and 46 C.F.R. § 545.2. Specifically, Priva alleges that AIM willfully and knowingly disregarded Malaysia's prohibition on the importation of aluminum scrap metal to evade Malaysian customs laws and/or to avoid paying the fees, charges, and penalties associated with doing so.

XXXV. AIM's abandonment of the NAM6677014 Containers and the NAM6677015 Containers constitutes a violation of the Shipping Act as it has led, and upon information and belief

may lead, to the assessment of additional and unnecessary demurrage and storage fees assessed against Priva.

XXXVI. AIM's Shipping Act violations are the direct and proximate cause of the \$70,000 misdeclaration fees levied by CMA CGM and any additional demurrage and storage fees for the NAM6677014 Containers and NAM6677015 Containers assessed against Priva.

XXXVII. AIM's Shipping Act violations directly and proximately caused Priva to expend time and resources, incurring growing administrative costs and expenses, attempting to remedy the customs issues and have the NAM6677014 Containers and the NAM6677015 Containers released from Port Klang West and resolve the instant dispute with AIM.

XXXVIII. AIM's Shipping Act violations have directly and proximately caused Priva to sustain significant reputational harm in the eyes of the ocean shipping industry and negatively impacted Priva's business and operations.

XXXIX. As a result of AIM's Shipping Act violations, Priva is entitled to payment in the amount of \$70,000 for CMA CGM's misdeclaration charges and Priva's own administrative costs and expenses incurred, and any additional misdeclaration, demurrage, and/or storage fees related to the NAM6677014 Containers and NAM6677015 Containers.

XL. Priva is entitled to reparations under 46 U.S.C. §§ 41301 and 41305 as a result of AIM's Shipping Act violations and the reputational and business harms to Priva.

REQUEST FOR ORAL HEARING

XLI. Priva requests oral hearing in this matter at the Federal Maritime Commission, 800 North Capitol Street, NW, Washington, D.C. 20573-0001.

PRAYER FOR RELIEF

WHEREFORE, Counterclaimant Priva Logistics, Inc. respectfully requests that Counter-Respondent American Iron & Metal Company, Inc. be required to answer the charges in this Counterclaim, and that after thorough investigation the Federal Maritime Commission issue an Order:

1. Requiring AIM to pay Priva \$70,000, plus interests, for the misdeclaration charges levied by CMA CGM against Priva, as well as any demurrage and storage fees, attributable to AIM's Shipping Act violations;
2. Requiring AIM to pay Priva the administrative costs and expenses incurred by Priva, plus interests, as a result of AIM's Shipping Act violations;
3. Requiring AIM to pay Priva reparations, plus interests, for the unlawful conduct of AIM described above;
4. Requiring AIM to pay any other amounts that the Federal Maritime Commission deems appropriate; and
5. Providing Priva any and all such other and further relief that the Federal Maritime Commission deems is just and proper.

Dated: July 23, 2025

Respectfully Submitted,

HOLLAND & KNIGHT LLP

By: /s/ Michael T. Amy
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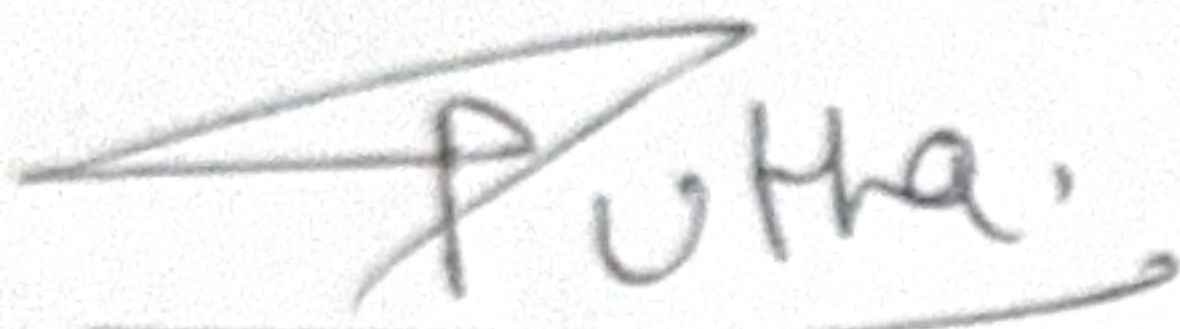
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*Counsel to Respondent & Counterclaimant
Priva Logistics, Inc.*

VERIFICATION

I, Priyanka Dutta, am the Owner of Priva Logistics Inc. and hereby declare and attest under penalty of perjury that I have read the foregoing Verified Answer and Counterclaim and believe, to the best of my knowledge, information, and belief, that the facts stated therein are true and correct.

Dated: July 23, 2025



Priyanka Dutta

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail on the following persons/addresses:

1. Office of the Secretary
Federal Maritime Commission
secretary@fmc.gov
2. Hon. Alex M. Chintella – *Administrative Law Judge*
Federal Maritime Commission
judges@fmc.gov
3. Flaster/Greenberg, P.C.
Counsel for Complainant/Counter-Respondent
 - a. Eric Palombo
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Dated: July 23, 2025

Respectfully Submitted,

HOLLAND & KNIGHT LLP

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